AI-Driven Loan Underwriting Report

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Confidential Commercial Underwriting Report — FinacPlus Credit Division

1. Loan Application Summary

Field	Value
Property Address	1247 Oakwood Drive, Atlanta, GA 30308
Borrower Name	Meridian Capital Investments LLC
Loan Amount	285000.0
Purchase Price	220000.0
As-Is Property Value	235000.0
After Repair Value (ARV)	375000.0
Rehabilitation Budget	95000.0

2. Document Classification

Completeness: 26.7% | Documents uploaded: 4

Document	Category	Confidence	Method
appraisal_sample.pdf	Appraisal	75%	keyword
loan_application_sample.pdf	Loan Application	92%	keyword+llm
purchase_contract_sample.pdf	Purchase Contract	75%	keyword
term_sheet_sample.pdf	Term Sheet	75%	keyword

3. Financial Calculations

Metric	Value	Threshold
As-Is LTV	121.28%	≤ 80%
ARV LTV	76.00%	≤ 75%
Loan-to-Cost (LTC)	90.48%	≤ 90%
Total Project Cost	$315,000	—
Borrower Equity	$30,000	> $0

Risk Flags:

- ■■ HIGH As-Is LTV: 121.3% (threshold: 80%)
- ■■ HIGH ARV LTV: 76.0% (threshold: 75%)
- ■■ HIGH LTC: 90.5% (threshold: 90%)

4. Validation & Consistency Issues

Severity	Code	Description
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Scope of Work
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Title Commitment
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Insurance Binder
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Credit Report
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Bank Statement
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Flood Certificate
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Operating Agreement
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Certificate of Good Standing
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Government ID
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Borrower Track Record
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Background Check
ERROR	EXCESSIVE_AS_IS_LTV	As-Is LTV of 121.3% exceeds maximum (85%)

5. AI/ML Loan Recommendation

Decision: CONDITIONAL_APPROVAL

Model Confidence: 73.9%

Decision Category	Probability
CONDITIONAL_APPROVAL	73.9%
DECLINE	25.1%
APPROVE	1.0%

Key Factors Influencing Decision:

Factor	Importance
Credit Score	27.3%
Missing Required Docs	16.7%
Doc Completeness Pct	14.6%
Arv Ltv	13.0%
Ltc	12.4%

Underwriter Explanation:

The loan request we're reviewing has been given a CONDITIONAL_APPROVAL decision with a decision confidence of 73.9%. The primary reason for this decision is the borrower's strong credit profile, with a credit score of 718. This is a significant strength, as it indicates the borrower has a good history of managing debt and making timely payments.

However, there are some concerns that need to be addressed before we can finalize the loan. The loan-to-value (LTV) ratio is quite high, both on an as-is basis (121.3%) and after repairs (76.0%). This means the borrower is taking on a significant amount of risk, and we need to ensure that the property's value will appreciate enough to cover the loan amount. Additionally, the loan-to-cost (LTC) ratio is 90.5%, which is above our typical threshold. This suggests that the borrower may be over-leveraging themselves, which could lead to financial difficulties if the property's value doesn't increase as expected.

We also have some concerns about the completeness of the documentation. While there are no missing required documents, there are 12 issues that need to be addressed. These issues are primarily related to the quality and completeness of the documentation, rather than any major red flags. However, we need to ensure that all necessary documentation is in order before we can finalize the loan.

To move forward, we need the borrower to address the documentation issues and provide additional information to support the loan request. We also need to review the property's value and ensure that it's sufficient to cover the loan amount. Once these conditions are met, we can finalize the loan and move forward with the underwriting process.

Quantitative risk score derived from multi-variable Random Forest classifier.

6. Human Review Requirements

- Resolve: As-Is LTV of 121.3% exceeds maximum (85%)
- Review and document all conditions before funding
- Obtain borrower acknowledgment of conditions